

Subject: Re: Article 56 - Prudent Investor Rule

From: Stephen Harrington <sth.alist@gmail.com>

Date: 4/30/24, 08:12

To: SDeCoursey@town.arlington.ma.us, Idiggins@town.arlington.ma.us,
DMahon@town.arlington.ma.us, ehelmuth@town.arlington.ma.us,
JHurd@town.arlington.ma.us

CC: Jim Feeney <jfeeney@town.arlington.ma.us>

Dear Arlington Board of Selectmen,

tl;dr I want the Board of Selectmen to direct the Town Manager to disseminate the petition for Article 56, attached below, to Town Meeting.

Please note, for three years I have documented dictates from Town Meeting Moderator Greg Christiana that he is "solely" responsible for allowing the public to communicate with a public body, Town Meeting. Further, Christiana has repeatedly claimed that it is his "sole discretion" to determine which speech is allowed based on the content of petitions, pamphlets and communications through the only official electronic or physical channel for mass communication to Town Meeting outside of the enclosure. Christiana has also threatened to hold petitioners accountable for speech Christiana does not agree with.

After almost a dozen documented claims of Christiana's overreach, Christiana and the Town counsel have pivoted and now claim that the Town Meeting Email List is a government function under the purview of the Town Manager.

The Board of Selectmen is responsible for supervising the Town Manager. That is why I am writing to you today.

Further, Christiana or the Town Manager or Town counsel, I mean who is in charge here?, have allowed notices of "virtual block parties" on the Town Meeting Email List; ignored complaints by at least one TMM of a parallel, shadow Town Meeting slack forum that discriminates against members of the public and other TMMs; and has unilaterally, outside the requirements of MGL for Town Meeting procedures, made several rules, requirements and guidelines placing unnecessary barriers for the public to seek a redress from Arlington's legislative body without the protections of a bylaw review.

A reasonable person might agree, these policies violate the civil rights of residents.

If Christiana and the Town Manager's goal is to suppress public engagement, they have done a marvelous job. One needs only to look at local elections (uncontested races, apathetic turnout), number of citizen warrant articles (only national Democrat agendas this time around), petitions from residents to this Town Meeting (none?), to inappropriate use of the Town Manager in acting as the proponent of articles beyond his duties, responsibilities and abilities. The most recent example of that is also attached below, a

petition seeking to inform Town Meeting that Christiana and the Town Manager have suppressed.

This has made local governance irrelevant to most residents. Fortunately, other avenues exist for those seeking a redress of their grievances which will not be under the control of Arlington officials.

Selectmen, do your duty, supervise the Town Manager, and point out the error in these ad-hoc, unilateral, unsupported policies, suppressing civic engagement by placing unnecessary, and illegal, barriers surrounding speech with public bodies in Arlington.

Stephen Harrington
CC Town Manager

On Mon, Apr 29, 2024 at 11:58 PM Greg Christiana <gchristiana@town.arlington.ma.us> wrote:

Hi Stephen,

Again, the TMM Email List is a service provided by the Town of Arlington for Town Meeting Members and Town officials (including chairs of Town committees) to share materials with each other, with those materials moderated by the Town Moderator and viewable by members of the public. The TMM Email List is not a public forum.

Regards,

Greg Christiana

Arlington Town Moderator

From: Stephen Harrington <sth.alist@gmail.com>

Date: Sunday, April 28, 2024 at 4:51 PM

To: Greg Christiana <gchristiana@town.arlington.ma.us>

Cc: Michael Cunningham <mcunningham@town.arlington.ma.us>, Jim Feeney <jfeeney@town.arlington.ma.us>

Subject: Article 56 - Prudent Investor Rule

CAUTION: This email originated from outside your organization. Exercise caution when opening attachments or clicking links, especially from unknown senders.

Dear Town Meeting Moderator Greg Christiana,

Please, forward my petition to the Town Meeting Members email list.

CC: Town Counsel Michael Cunningham, Town Manager Jim Feeney

tl;dr **Vote NO on Article 56 by supporting the Finance Committee recommended vote of NO Action.**

Background

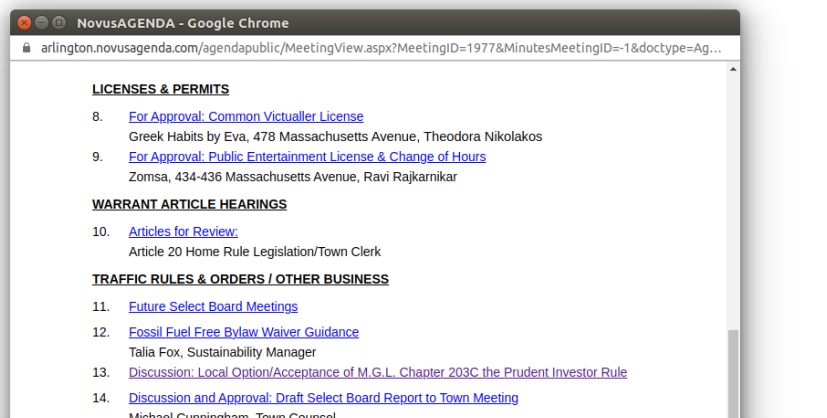
Article 56, adopting [M.G.L Chapter 203C the Prudent Investor Rule](#), is not what you think it is. Like a lot of legal language, the common use of the term **prudent** here has a specific and uncommon meaning dating back to Supreme Court Justice Brandeis in the 1920s.

I have attached the Treasurer's report from Rockland Trust detailing the trust fund balances, principal restrictions, fund performance and other investment management details. As of Sunday afternoon on 4/28, the materials attached here were not in novus agenda for either the FinCom 3/13 meeting nor the Board of Selectmen meetings on 3/4 and 4/8.



Town of Arlington, Massachusetts

Discussion: Local Option/Acceptance of M.G.L. Chapter 203C the Prudent Investor Rule



As well, the Trust Fund management reports are not available in the "annotated" Town Meeting agenda.

Vote Language:

Select Board Recommended Vote:

That the Town does and hereby accepts the provisions of Massachusetts General Laws, Chapter 203C and authorizes the trustee of the town's previously established Trust Funds, as authorized by Chapter 32B, Section 20, G.L. c. 44, s. 54, and G.L. c. 44, ss. 55, 55A and 55B of the General Laws, as amended, to invest and reinvest the monies in such fund in accordance with the Prudent Investor Rule established under Chapter 203C of the Massachusetts General Laws.

Finance Committee Recommended Vote:

That no action be taken under Article 56.

Additional Materials:

[Select Board Report](#)

[Finance Committee Report](#)

An informed Town Meeting member might note the 7.8% return of the Trust Funds in the latest Rockland report; not a bad return for adhering to the Legal List of boring investments. A reasonable return for Trust Funds, although the income generated does not satisfy the Library Trustees nor some of the other trustees as you will see. You may note that the Town Manager during his 4/8 Selectmen hearing did not understand that the 22 equities on the legal list, dividend paying (~3%) blue chip stocks, underperformed during the past year when compared to a 5.5% money market fund interest rate environment. Apparently, neither do the library trustees.

Strike 0 The legal list provides the best possible prudent investment for Arlington Trust Funds that seek income today.

Public Record

At the 3/4 Board meeting where the unanimous vote for Article 56 was taken, the Town Manager is the sponsor and the Town Treasurer Julie Wyman is the presenter.

Strike 1. Why are the various Trustees not the sponsors for Warrant Article 56?

Note, that chair Eric Helmuth makes the comments "Sounds like a good rule.", "Well, who doesn't like prudent investments?", followed by John Hurd's "hopefully we're not imprudently investing our trust funds right now", which all employ the [common use of the word prudent](#).

Diane Mahon asks the pertinent question, the difference between the list of authorized investments today, the "narrow list", and what investments will be allowed under this rule; the "narrow list" is found on the state website ([List of Legal Investments](#)). Note how conservative MGL defines legal investments for Trust Funds and other municipal funds.

Julie Wyman does address the change in more specific terms: "***library commissioners ... asking about a little bit more, a little more risk, you know, looking to bring in a little bit more, you know, a little bit more in their funds, seeing a little bit more revenue.***"

So the Prudent Investor Rule lets the "prudent investor" take more risk with trust funds. The first step a prudent investor must take is to define the investment objective (policy) for the Funds. In the case of Arlington Trust Funds, not all will have the same investment policy in terms of risk profile; certainly income generating investments compete with capital appreciating assets and the Trust Funds have restrictions that complicate a one-size fits all approach; except of course the default legal list option.

Currently, the *implied* investment objective for all Trust Funds is low risk. The legal list authorizes investments in cash, cash equivalents, money market funds, short term treasuries, blue chip **dividend paying** stocks, etc. These are considered the prudent investments for anyone who is not an investment professional. Taking more risk means changing the investment objective of the Trust Fund to a more risk tolerant profile.

Board of Commissioners of Trust Funds chair Augusta Haydock attended the April 8 Selectmen meeting, after the FinCom voted No Action on Article 56 until the Town creates an "Investment Policy" and implements "further oversight added".

Strike 2. Why were the other Trustees of Trust Funds (library trustees, cemetery

commissioners) not on record for assuming greater risk?

The Selectmen, Manager and Counsel all stated that adopting 203C does not necessarily imply that the Trustees (or Treasurer, or Rockland, or someone) would necessarily take more risk with assurances that such changes won't happen until after the FinCom's policy update and oversight is established. However, that contradicts Augusta Haydock's statement that he, as trustee, has wanted to take a higher level of risk, since at least the year 2020.

Arlington's position of Treasurer, as far as I can tell, is the *custodian* of the Trust Funds, and not the trustee, not the person(s) who must act as a "prudent investor".

Strike 3. The responsibility for being the "prudent investor" can not be delegated.

Have any of you actually looked at MGL 203C? [Section 3 enumerates the duties of the trustees](#), which is fairly substantial, and much more than what is required today to be a trustee for Arlington's Trust Funds. Only fools would offer to take personal liability for \$28M in Trust Funds for little (\$5K) or nothing.

The [Board of Commissioners of Trust Funds website states](#) that the Cemetery Trusts and notably the Library Trust Fund are not under their purview, so not all trustees were involved in supporting Article 56.

Strike 4. Are *all* Trustees aware (on record) of their responsibilities under adopting 203C?

I could find none of the current Board Commissioners, the Treasurer, any other Town Meeting Member, nor any of the members of the Finance Committee nor any of the Library Trustees registered on [FINRA Brokercheck](#) suggesting none of them (you) have any experience as a prudent investor.

Arlington needs an investment committee to advise the Trustees, Treasurer and other non-investment professionals what actions to take and help establish proper oversight and investment policies. Larger funds engage firms like Cambridge Associates to advise

on these duties as well as assist in manager selection.

Rockland Trust

Some might argue that Rockland Trust, an SEC registered investment advisor, manages the investment portfolio. [Navigate to Rockland Trust's government services page](#) and note:

Rockland Trust's Government Banking department is dedicated to upholding our company motto of "Where Each Relationship Matters" by matching each public entity with the right solutions to meet their fiduciary responsibilities.

"public entity" ... "fiduciary responsibilities"

The public entity fiduciary (trustee) agrees to a higher level of risk, Rockland Trust can dial any type of risk in an investment portfolio. The trustees decide that level of risk partly through their investment policies. Rockland Trust is not the prudent investor of Arlington's Trust Funds.

Adopting Article 56, while there is **no** one in the loop who has operated as a prudent investor is a recipe for uncompensated risk and potential unnecessary, and completely avoidable, losses. As the Finance Committee repeatedly pointed out, there is no reason to rush this newly minted piece of state legislation.

History

Taking more risk in Trust Funds comes up from time to time, past Treasurers were pressured to operate under the prudent investor standard, apparently to no avail. I remember well, when some of the current Town Meeting members and Selectmen tried to pressure former Treasurer Steve Gilligan to take more risk in certain funds under his control.

This was in May of 2008.

If you don't know what happened next or you were one of the TMMs pushing for more risk in Town funds in May of 2008 (we have the Arlington List postings....) please, abstain from voting on Article 56.

In my experience in 3 decades as an investment manager, there is a simple litmus test to judge investment advice, ignore those who call for risk taking but have no personal liability.

I actually support having a better universe of investments to chose from, and someday Arlington should consider adopting 203C, but the current deficiencies does not support adoption of 203C at this time.

Vote NO on Article 56, it is the prudent thing to do.

Stephen Harrington